

Strategic Pricing Memorandum: The "Micro-SMB" Wedge

Date: December 3, 2025

To: Investor Committee

From: CFO, BlockDrive

Subject: Defending the 2-Seat Minimum Strategy

1. Executive Summary

BlockDrive is executing a contrarian pricing strategy designed to exploit a structural gap in the cloud storage market. While incumbents (Dropbox, Box, Tresorit) enforce a **3-seat minimum (\$45-\$72/mo floor)**, BlockDrive is introducing a **2-seat minimum (\$78/mo floor)** for our Scale Tier.

This decision is not a concession; it is a competitive wedge. It allows us to capture high-value "Power Duos"—boutique legal partnerships, crypto founder pairs, and creative teams—that are currently alienated by paying for "ghost seats" on competitor platforms.

2. The Market Gap: Why Competitors Force 3 Seats

Incumbents are trapped by low-margin unit economics. Selling commodity storage at \$15/seat requires a forced volume of 3 seats to generate a viable revenue floor (\$45/mo).

Metric	Dropbox Standard	BlockDrive Scale
Price Per Seat	\$15.00	\$39.00
Minimum Seats	3 (Forced)	2 (Flexible)
Minimum Revenue	\$45.00	\$78.00
ARPU Efficiency	Low	High (2.6x)

Strategic Insight: Because our premium privacy value proposition commands **\$39/seat**, we hit a higher revenue floor (\$78) with *fewer* users than Dropbox hits with three. We do not need the "3rd seat crutch" to be profitable.

3. The "Power Duo" Opportunity

Our 2-seat minimum specifically targets high-churn-risk segments for competitors:

- **The Crypto Founders:** CEO + CTO pairs who need a shared, sovereign vault for keys/IP but have no need for a 3rd seat.
- **The Boutique Firm:** Legal partners or specialized consultants who bill high rates but operate lean.
- **The Creative Partnership:** A video editor and producer sharing large raw files.

The Win: We offer these users a tailored solution that feels efficient ("Pay for what you use") while actually extracting **73% higher revenue** (\$78 vs \$45) than the commodity alternative.

4. Financial Impact Analysis

Does lowering the minimum hurt our unit economics? **No.**

- **CAC Payback:** Even at the 2-seat entry point (\$936/year ACV), our CAC payback period remains healthy.
- **Conversion Velocity:** Removing the friction of the "wasted seat" accelerates sales cycles. A \$78 expense is often approved instantly on a corporate card, whereas a \$100+ expense may trigger review.
- **Upsell Path:** It is easier to upsell a happy 2-seat team to a 3rd seat than to force an unhappy 2-person team to buy 3 seats upfront.

5. Conclusion

The 2-seat minimum is a **Growth Hack**. It aligns our pricing with the natural formation of modern startups (Co-founders) rather than legacy corporate structures (Depts). This strategy positions BlockDrive as the "agile, sovereign choice" against the bloated legacy providers.